

**Before the
Federal Maritime Commission**

Docket No. 24-17

**Samsung Electronics America, Inc.
v.
Orient Overseas Container Line, Limited,
and OOCL (Europe) Ltd.
v.
Samsung Electronics Company, Ltd.**

**RESPONDENTS' BRIEF IN OPPOSITION TO THIRD-PARTY RESPONDENT'S
MOTION TO DISMISS THE THIRD-PARTY COMPLAINT**

Orient Overseas Container Line, Limited and OOCL (Europe) Ltd. ("OOCL" or "Respondents") respond to the motion of Samsung Electronics Company, Ltd. ("Samsung" or "Third-Party Respondent") to dismiss the Third-Party Complaint ("Motion").

Further, because Samsung has entered a limited appearance while its Motion is pending, and a Motion to Dismiss OOCL's Counterclaim against Samsung Electronics America, Ltd. ("SEA") (FMC Docket Entry No. 32) is presently before the Presiding Officer, OOCL respectfully requests that the commencement of discovery in this case be stayed until Samsung's Motion and SEA's Motion to Dismiss have been decided, SEA and Samsung have filed Answers, and all parties are substantively before the agency.

INTRODUCTION

Samsung was a signatory to Service Contracts Nos. PE213002 dated August 25, 2021 and PE223002 dated September 28, 2022 (collectively, "Service Contracts") and the services provided

thereunder by OOCL are the subject of claims asserted by the Complainant herein, SEA. (TPC¹ ¶12). The Service Contracts were duly filed with the Federal Maritime Commission (“FMC” or “Commission”) as required by the Shipping Act of 1984, as amended (“Shipping Act”) (46 U.S.C. § 40502(b)(1)) and the Commission’s regulations (46 C.F.R. § 530.5), and provided for the application of United States law and the Shipping Act. (TPC ¶¶17-18). During the two years they were in effect, Samsung benefitted from the Service Contracts’ lower rates, extended free times and other benefits that it had negotiated with OOCL; but now, Samsung attempts to avoid application of those terms which it finds to be unfavorable and “claw back” extended freight² through SEA, its wholly-owned subsidiary and, in effect, its foil in this proceeding. In doing so, Samsung seeks to unjustly and unfairly obtain benefits to which it is not entitled under the Service Contracts and the Shipping Act.

The within Motion by Samsung, and the related motion to dismiss filed by SEA (FMC Docket Entry No. 24), are nothing less than a “tooth and nail” effort to preclude OOCL from marshaling additional evidence which will further substantiate the claims it has asserted in the Counterclaim and Third-Party Complaint. For the reasons described below, the Motion to Dismiss the Third-Party Complaint should be denied.

Alternatively, in the remote event that the Presiding Officer determines that Samsung must be served through the procedures set forth in the Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil or Commercial Matters, 20 U.S.T. 361 (Nov. 15, 1965) (“Hague Convention”), OOCL requests leave to do so and, pending the completion of this administrative task, seeks an order staying discovery until Samsung is before this agency.

¹ “TPC ¶__” refers to paragraph numbers of the Third-Party Complaint and the facts alleged therein.

² As explained in OOCL’s Response to SEA’s Motion to Dismiss the Counterclaim, the charges which SEA seeks to recover are extended freight. FMC Docket Entry No. 29, p 7.

STATEMENT OF FACTS

While there are many facts alleged in the Third-Party Complaint in support of OOCL's claim against Samsung, the discussion herein will be limited to those which are relevant to the Samsung Motion.³

The claims made by SEA in its Complaint arise from services provided by OOCL during the 2021-2022 time period under the Service Contracts between OOCL and Samsung. (TPC, ¶12). Pursuant to the terms of these Service Contracts, Samsung agreed that it would be subject to United States law and the U.S. Shipping Act of 1984, as amended. (TPC, ¶18). The Third-Party Complaint was served on Samsung by the FMC pursuant to its rules, 46 C.F.R. §502.113(b), at the address provided by Samsung in the Service Contracts. (TPC, ¶10; FMC Docket Entry No. 21). The Notice of Filing of the Third-Party Complaint was issued on December 17, 2024. (FMC Docket Entry No. 20). On January 17, 2025, the FMC Secretary filed a letter advising that the Complaint was returned on January 14 as "non-deliverable or not accepted for delivery..." (FMC Docket Entry No. 28). On January 27, 2025, Respondents requested that the FMC serve the Third-Party Complaint at the following address:

129 Samsung-ro Yeongtong-gu,
Gyeonggi-do 16677
Suwon-Shi, Republic of Korea

The Secretary confirmed that the Third-Party Complaint and letter of transmittal was served on January 29, 2024 on Samsung at this address pursuant to 46 C.F.R. §502.113(b) (FMC Docket Entry No. 31), and the Secretary has not advised the Parties of any refusal of service to date. Notably, this address differs from that which was provided by Samsung in the Service Contracts; however,

³ As a motion to dismiss is before the Presiding Officer, all facts alleged in the Third-Party Complaint must be assumed to be true and viewed in a light most favorable to the non-movant. *Cargo One Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1351, 1365 (ALJ 2000).

Samsung admitted as recently as January 14, 2025 in an Answer and Counterclaim filed in a legal proceeding before the United States District Court of the Eastern District of Texas that this is the address of its principal place of business. *See*, paragraph 5 of Answer and paragraph 4 of the Counterclaim in *V.B. Assets, LLC v. Samsung Electronics Co. Ltd, et al.* 24 Civ. 828 (E.D. TX, Marshall Division) attached as Exhibit D to the accompanying Declaration of Stacey Normington (“Normington Declaration”). Accordingly Samsung has been properly served pursuant to the FMC rules and, as evidenced by its appearance by counsel, has received adequate notice of this proceeding.

Indeed, OOCL has identified 250 separate lawsuits filed against Samsung before various United States District Courts. (Normington Declaration, Exhibit A) The dockets confirm that Samsung has waived service under the Hague Convention in no fewer than 116 of those proceedings. (Normington Declaration, ¶6) *See*, by way of example, the form of motion for an extension of time that its counsel typically files in these proceedings, in which it specifically waives service under the Hague Convention. (Normington Declaration, Exhibit C). Further, a review of the 250 dockets for cases in which it was named as a defendant also confirms that Samsung has never moved to dismiss a complaint for failure to serve the complaint pursuant to the Hague Convention. (Normington Declaration, ¶7). Finally, Samsung itself has been a plaintiff in thirty-five lawsuits that it has filed before United States District Courts. (Normington Declaration, Exhibit B).

The facts gleaned from the public records⁴ described in the Normington Declaration, coupled with its retention of counsel who have appeared in this action and filed the within Motion, leave no question that Samsung has been properly served pursuant to FMC rules and has received adequate notice of the Third-Party Complaint. For these reasons, and those set forth below, the Motion should

⁴ When considering a motion to dismiss, the court may consider “matters of which judicial notice may be taken” such as pleadings found in public records. *Goel v. Bunge, Ltd.*, 820 F.3d 554, 559 (2d Cir. 2016).

be denied and Samsung should be directed to answer the Third-Party Complaint within ten days of the denial of its Motion.

ARGUMENT

I. Samsung's Motion to Dismiss Should Be Denied

A. Service of the Third-Party Complaint Pursuant to the FMC Rules Was Effective and Binding Upon Samsung

Samsung has incorrectly asserted that the law of the “forum state” which governs the service of process is South Korea. In proceedings before an administrative agency, which in this case is the FMC, the “forum state” is the situs of the agency and not that of Samsung.

The argument that is currently advanced by Samsung in support of dismissal was raised, and soundly rejected, in *Taotao USA, Inc., et al. v. Environmental Protection Agency*, 2022 WL 969651 (D.D.C. 2022). In that case, the respondents were corporations organized and existing under the laws of the People’s Republic of China, a signatory to the Hague Convention which also does not permit the service of process by mail. These respondents claimed that any service of process upon them in litigation brought in the United States must be made abroad pursuant to the Hague Convention. The ALJ’s initial decision which rejected this argument and was subsequently reviewed stated:

The leading case on the applicability of the Hague Service Convention is *Volkswagenwerk Aktiengesellschaft v. Schlunk*, 486 U.S. 694, 696 (1988). In that case, the Supreme Court held that whether service abroad under the Convention is required is “determined by reference to the law of the forum state.” *Id.* at 701, 705 (noting foreign nationals are also entitled to the protection of the due process clause to receipt of notice of pendency of an action and an opportunity to be heard). In *Volkswagenwerk*, the forum state was Illinois, whose long arm statute authorized substituted service on the foreign (German) corporation without requiring the documents to be served aboard. *Id.* at 706, *citing* Ill. Rev. Stat., ch. 110, § 2-209(a)(1)(1985).

* * * * *

This case is an administrative enforcement action initiated by the EPA against the Respondents pursuant to CAA § 205(c)(1), 42 U.S.C. 7524(c)(1). As such, the

applicable law of the forum with regard to service of process is that contained in Section 22.5 of the Consolidated Rules of Practice Governing the Administrative Assessment of Civil Penalties and the Revocation/Termination or Suspension of Permits. 40 C.F.R. § 22.5. That section provides, with regard to service of the Complaint, that “Where respondent is a domestic or foreign corporation, . . . complainant shall serve an officer, partner, a managing or general agent, *or any other person authorized by appointment* or by Federal or State law to receive service of process.” 40 C.F.R. § 22.5(b)(1)(ii)(A) (emphasis added). Order on Mot. to Quash and Dismiss (June 21, 2016) at 1–4, J.A. at 2–5, ECF No. 31-1

With regard to (the) claim raised by Respondents that EPA’s regulation requiring the designation of service unconstitutionally circumvents the Hague Service Convention, it is noted *Volkswagenwerk* suggests that forums are free to adopt laws that provide for service upon foreign entities in lieu of that required under the Convention, as long as such service does not violate due process requirements of notice. *Volkswagenwerk*, 486 U.S. at 706. (Emphasis supplied). Order on Mot. to Quash and Dismiss (June 21, 2016) at 1–4, J.A. at 2–5, ECF No. 31-1⁵

In their appeal, insufficient service of process was one of the many grounds the *Taotao* respondents raised in support of their request for dismissal. With respect to the service of process argument, the Court held:

In a last gasp effort to undo the ALJ and EAB decisions, Taotao China and Jinyun separately challenge EPA’s service of process on them as violating their due process rights. Specifically... under the Hague Convention they were required to receive a translated version of the EPA administrative complaint...

* * * * *

As plaintiffs point out, the leading case on this issue is *Volkswagenwerk Aktiengesellschaft v. Schlunk*. 486 U.S. 694 (1988). In *Schlunk*, the Supreme Court addressed when the Hague Service Convention would govern the method of service that must be used to serve foreign defendants. The Court concluded that the Convention does not prescribe a standard for determining when service of process is legally sufficient and thus “[i]f the internal law of the forum state defines the applicable method of serving process as requiring the transmittal of documents abroad,” only then would the rules of the Hague Service Convention apply to service of process. *Id.* at 700.

* * * * *

⁵ While the decision is publicly available, it has not been officially reported so a courtesy copy of the ALJ’s decision is attached to the Normington Declaration as Exhibit E for the convenience of the Presiding Officer and opposing counsel.

...the Court explained that the Due Process Clause would assure foreign nationals either of personal service, which would usually require service abroad and thereby trigger the Convention, or “substituted service that provides ‘notice reasonably calculated, under all the circumstances, to apprise interested parties of the pendency of the action and afford them an opportunity to present their objections.’ ” *Id.* (quoting *Mullane v. Cent. Hanover Bank & Trust Co.*, 339 U.S 306, 314 (1950)). (emphasis supplied)

Here, there is no question that Samsung received notice that was reasonably calculated, under all the circumstances, to apprise it of the pendency of this proceeding and afford it an opportunity to present its defenses. As noted above, Samsung explicitly agreed in the FMC-filed Service Contracts to be subject to the Shipping Act (TPC, ¶18), and proceedings under the Shipping Act before the FMC are governed by its Rules of Practice and Procedure, 46 CFR §502 *et seq.* With respect to service, 46 C.F.R. §502.113 provides in pertinent part, as follows:

(a) Complaints filed pursuant to § 502.62, amendments to complaints (unless otherwise authorized by the presiding officer pursuant to § 502.66(b)), small claims complaints filed pursuant to § 502.304, and Complainant's memoranda filed in shortened procedure cases pursuant to § 502.182, will be served by the Secretary of the Commission.

(b) The Secretary will serve the complaint using first class mail or express mail service at the Respondent's address provided by the Complainant.

Thus, the FMC’s rules on service of process are similar to those of the EPA, under which service via mail was held to be proper and the Hague Convention was held to be inapplicable. Further, as described above, there is no question that Samsung was served pursuant to the FMC Rules. (FMC Docket Entries Nos. 21, 23, 31).⁶ There is also no doubt that it has received notice that was reasonably

⁶ The Shipping Act provides only that “(b) Notice and Response.—The Commission shall provide a copy of the complaint to the person named in the complaint. Within a reasonable time specified by the Commission, the person shall satisfy the complaint or answer it in writing.” 46 U.S.C. 40301(b). The Commission’s rules specify that, in addition to service by mail of the Complaint itself, that Notice of the Complaint is to be published in the Federal Register. 46 C.F.R. 502.61(c). Such notice of the Third-Party Complaint was duly published and appeared at 89 FR 104537 (December 23, 2024)(FMC Docket Entry No. 23).

calculated to apprise it of the pendency of this action, given that it has appointed able counsel to respond to OOCL's Third Party Complaint.

Other cases involving actions before federal agencies, in which the Hague Convention was not used to effect service upon foreign corporations, are in accord with the *Taotao* ruling particularly where, as here, the defendant/respondent receive notice of the legal proceedings. In *Securities Exchange Comm'n v. Global Investment Strategy UK Ltd., et al.* 2021 WL 4896127 (S.D.N.Y. 2021), in which the respondent was served via mail, the Court held:

Courts have held that service made via registered mail, to a defendant's last known address is sufficient, even if the defendant no longer resides at the address at the time service is effectuated, where defendant "does not assert, nor does the record establish," that the address to which service was made was not previously her address, and where the defendant otherwise received notice of the [] action. (citation omitted – emphasis supplied).

See also, Commodity Futures Trading Comm'n v. William Thomas Caniff, et al. 2020 WL 956302 (N.D. IL, Eastern Div. 2020) in which alternate service upon a citizen of the Netherlands was permitted via email, because he was given adequate notice of the agency's proceedings:

Finally, in this case service by email was authorized under Rule 4(f)(3) because Plaintiff properly obtained permission from the Court to use alternative means of service. The method approved by the Court (email to (defendant) at an address the CFTC had previously used to contact him, along with service on (defendant's) American counsel) was reasonably calculated to give notice of the lawsuit to Plaintiff, and his appearance in court demonstrates that the method was effective. *Id.* at 6 (emphasis supplied).

Notably, Samsung is no stranger to litigation in the United States and, based on Respondents' limited research efforts, has been named as a defendant in at least 250 cases filed against it in United States District Courts in various districts of the U.S.; a review of the dockets in those proceedings indicates Samsung has waived service of process under the Hague Convention in no fewer than 116 of those cases. Further, Samsung has not filed a motion to dismiss any other case which OOCL has

located on the grounds that service of process must be made pursuant to the Hague Convention. (Normington Declaration, ¶7 Exhibit A)

Finally, it must be emphasized that there have been thousands of proceedings filed by private parties before the FMC against corporations whose principal places of business are in foreign countries which mandatorily require service of process through the Hague Convention. Granting Samsung's Motion and requiring service under the Hague Convention would establish a precedent that, if uniformly enforced with respect to all foreign corporations, would wreak havoc at the procedural stage of hundreds of matters pending before the FMC, notably including enforcement actions by the FMC itself.

B. Reliance Upon Decisions Employing Provisions of the Hague Evidence Convention for the Taking of Evidence Abroad Is Mistaken and Misplaced

The implication that the Hague Evidence Convention for the Taking of Evidence Aboard ("Hague Evidence Convention") is somehow relevant to an analysis of the issue now before the Presiding Officer is misplaced. The purpose and procedures under these two conventions are different. The Hague Convention governs the service of process on foreign corporations, which, if subject to personal jurisdiction within the United States, would be properly brought before the court or agency to which it has been summoned and is thereafter subject to its authority. Once a foreign entity is subject to the jurisdiction of a court or agency, discovery is governed by that court/agency's rules and not by the Hague Evidence Convention. The Hague Evidence Convention is only utilized when discovery is sought from a foreign entity or person that is not a party to the lawsuit and not subject to the jurisdiction and power of the Court/agency to which the parties themselves are subject. Because the Motion before the Presiding Officer deals with service of a complaint rather than the taking of discovery, the two discovery-related cases cited by Samsung are inapposite. In *MCS Industries, Inc., v. COSCO Shipping Lines Co., Ltd. and MSC Mediterranean Shipping Company SA*,

Dkt. 21-05, 2023 WL 9604492 (ALJ, Jan. 13, 2023), a respondent declined to provide discovery unless same was obtained through the procedures promulgated by the Hague Evidence Convention. When the Swiss authority refused to grant the letter of request, the Swiss respondent declined to produce the requested discovery, giving rise to the imposition of sanctions by the Presiding Officer. *Id.* at 19. This holding, which dealt with discovery rather than service of the complaint, has no relevance to the issue before the Presiding Officer.

Similarly, in *20230930-DK-Butterfly-I, Inc. f/k/a/ Bed Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, Dkt. 23-02, 2024 WL 4732735, the issue involved the deposition of a Chinese national residing in Hong Kong, who was employed by a foreign corporation that was not a party to the case. The parties were required to resort to the Hague Evidence Convention to obtain that discovery from the foreign witness. *Id.* FMC Docket Nos. 71-73. The case did not involve service of the complaint.

The two Hague Evidence Convention cases cited by Samsung have no relevance to the analysis of the issue before the Presiding Officer.

II. If Necessary, OOCL Should be Granted Leave to Serve Samsung Through the Hague Convention.

A. Dismissal Is Not Appropriate If Service Pursuant to the FMC Rules Is Found To Be Defective.

Should the Presiding Officer determine that Samsung nevertheless must be served through the procedures set forth in the Hague Convention, Samsung is not entitled to a “dismissal with prejudice,” which is the draconian and completely unsupported relief that its counsel has requested. To the contrary, Samsung is not entitled to a dismissal should the Presiding Officer grant its Motion because OOCL must then be given the opportunity and time to serve Samsung pursuant to those procedures:

The “general rule” is that “ ‘when a court finds that service is insufficient but curable, it generally should quash the service and give the plaintiff an opportunity to re-serve the defendant.’ ” *Gregory v. United States Bankruptcy Court*, 942 F.2d 1498, 1500 (10th Cir.1991) (quoting *Pell v. Azar Nut Co.*, 711 F.2d 949, 950 n. 2 (10th Cir.1983)); *see also* 5A Wright & Miller, § 1354, at 289–90 (explaining that where the propriety of service is unclear, “the simplest solution ... is to quash process and allow plaintiff another opportunity to serve defendant”). At the same time, dismissal without opportunity to cure is appropriate where proper service would be futile. *See id.*; 5A Charles A. Wright & Arthur R. Miller, § 1354, at 289. *Charles A. Rhodes, et al. v. J.P. Sauer, et al.* 98 F. Supp.2d 746, 750 (W.D. LA, 2000)

The Court denied defendant’s motion to dismiss and entered an order granting plaintiff time to complete service. *Id.* at 751.

See also, Sylvester Charles v. Hector Gutierrez Sanchez, et al. 2013 WL 12087219 (W.D. TX, 2013):

...dismissal is generally appropriate only where proper service would be futile. *Rhodes*, 98 F.Supp.2d at 750. In most instances where a foreign defendant has not been served in compliance with the Hague Convention, the favored remedy is to allow the plaintiff the appropriate time to properly serve the defendant. *See Rhodes*, 98 F.Supp.2d at 751; *Pennebaker v. Kawasaki Motors Corp.*, 155 F.R.D. 153, 158 (S.D. Miss. 1994). *Id.* at 4.

Clearly, since Samsung has participated as a defendant in no less than 250 cases pending before United States District Courts in this country, service via the Hague Convention would not be futile should the Presiding Officer determine that this procedural step must be taken to bring Samsung before the Commission.

III. Further Proceedings Should Be Stayed Pending Resolution of Samsung’s Participation in This Case

Should the Presiding Officer deny the Third-Party Respondent’s Motion seeking dismissal but nevertheless determine that service under the FMC Rules is deficient, then the Presiding Officer should stay this proceeding until service of process upon Samsung through the Hague Convention has been completed and Samsung has answered the Third-Party Complaint.

The Presiding Officer has broad authority to manage the course of a proceeding. *See*, 46 C.F.R. §502.25(b)(4). This is similar to the power afforded federal judges to control their docket:

[T]he power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants.

Landis v. N. Am. Co., 299 U.S. 248, 254 (1936). In deciding whether to stay a proceeding, the judge to whom that proceeding is assigned is to balance the court's interest in judicial economy and any possible hardship to the parties. *United States SEC v. Deloitte Touche Tohmatsu CPA Ltd.*, 928 F.Supp.2d 43, 50 (D.D.C. 2013) (citing *Landis*).

Here, a balancing of the interests weighs in favor of a stay. Should the Presiding Officer determine that Samsung must be served through the procedures promulgated by the Hague Convention and OOCL is given leave to do so, then discovery should not go forward until Samsung has been served and has substantively responded to OOCL's Third-Party Complaint. Moving forward with discovery between SEA and OOCL, without the participation of Samsung, the shipper signatory party to relevant Service Contracts pursuant to which bills of lading were issued, would prolong this proceeding and require a second production of multiple witnesses for depositions, as it is likely that Samsung would want to question witnesses produced by OOCL; and, if Samsung maintains that its ostensible relationship with SEA is "arms-length," then it would also want to have the same opportunity to depose SEA's witnesses.

The modest delay involved in staying discovery while Samsung is served via the Hague Convention will not prejudice or harm either party and will preserve the resources of counsel and the Commission.

CONCLUSION

For the reasons set forth in this Response, the Presiding Officer should deny Samsung's Motion to Dismiss the Third-Party Complaint, rule that service pursuant to the FMC's rules was effective, and direct Samsung to answer the Third-Party Complaint. Alternatively, if the Presiding Officer finds that Samsung must be served pursuant to the Hague Convention, then an Order should be issued (1) granting leave to OOCL to accordingly serve Samsung; and, (2) staying further proceedings until Samsung has substantively appeared before the Court.

DATED: February 13, 2025

Respectfully submitted,

/s/ Rebecca A. Fenneman

JEFFREY/FENNEMAN LAW + STRATEGY, PLLC

Eric C. Jeffrey

Rebecca A. Fenneman

700 12th Street, NW Suite 700

Washington, DC 20005

EJeffrey@JeffreyFenneman.com

RFenneman@JeffreyFenneman.com

/s/ Christopher Raleigh

Wayne R. Rohde

Christopher Raleigh

Kathryn Sobotta

Cozen O'Connor, P.C.

1200 19th Street Northwest, Floor 3

Washington, DC 20036

Telephone: 202-463-2507

Facsimile: 202-640-5912

wrohde@cozen.com

craleigh@cozen.com

Counsel for Respondents, Orient Overseas Container Line Limited and OOCL (Europe) Limited

CERTIFICATE OF SERVICE

I certify that on the 13th day of February, 2025, a true and correct copy of the foregoing **REPOENDENTS' BRIEF IN OPPOSITION TO THIRD PARTY RESPONDENT'S MOTION TO DISMISS THE THIRD PARTY COMPLAINT and accompanying NORMINGTON DECLARATION** were served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

ATTORNEYS FOR COMPLAINANT:

H. Allen Black
Peter F. Black
MILLS BLACK LLP
1215 19th St. NW
Washington, DC 20036
pblack@millsblack.com

ATTORNEYS FOR THIRD PARTY RESPONDENT

Jim Hohenstein
Hohenstein & Parkinson, LLP
385 South End Avenue, #5K
New York, NY 10280
email: jim.hohenstein@hplawnyc.com

/s/ Christopher Raleigh